

Identification Guidelines

[Table 36.1](#) lists identification guidelines for gaps.

Area gaps. *Area*, *common*, or *pattern* gaps are all names for the same type of gap. The gap forms inside or just after a consolidation region. It is easy to spot because price seems to hook around and closes the gap in less than a week (many times in the next trading session or two). [Figure 36.2](#) shows many examples of this hook feature: For example, you can see (if you have a magnifying glass) in late March that price gaps down and the next day the high closes the area gap. A quick hook such as that is characteristic of area gaps. Usually, few or no new highs (for uptrends) or lows (when price gaps lower) occur immediately after the gap.

Volume may be high on the day price gaps but usually settles down quickly. You can see this behavior in late January. Volume spikes on the gap day, then returns to normal the next day.

Breakaway gap. Breakaway gaps highlight the start of a new trend. Volume rises substantially above the prior day and price gaps upward and continues rising (or falling in the case of a descending price gap), forming new highs (or lows).